

HOUSE BILL 1278

By Hill

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 9 and Title 58, relative
to providing financial assistance in counties
impacted by Hurricane Helene.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 9, Chapter 4, Part 2, is amended by
adding the following as a new section:

(a) There is created a fund within the state treasury to be known as the
Hurricane Helene disaster recovery fund. The fund consists of grants, appropriations by
the general assembly, federal funds, to the extent permitted by federal law and
regulation, and any other moneys made available to the Tennessee emergency
management agency for the purposes of such fund from any other source or sources.

(b) Moneys deposited in the fund must be invested for the benefit of the fund
pursuant to § 9-4-603.

(c) Moneys in the fund must not revert to the general fund, but must remain
available to be used exclusively for the purpose specified in this section.

(d) The Tennessee emergency management agency shall use the Hurricane
Helene disaster recovery fund to pay county recovery grants and direct assistance
recovery grants to eligible counties to assist with disaster recovery efforts in those
counties resulting from flooding caused by Hurricane Helene.

(e) It is the legislative intent that the Hurricane Helene disaster recovery fund
consists of an initial appropriation of two hundred million dollars (\$200,000,000) from the
general fund, with one hundred million dollars (\$100,000,000) to be allocated for county

recovery grants and one hundred million dollars (\$100,000,000) to be allocated for direct assistance recovery grants. Unless directed otherwise, any grants, subsequent appropriations by the general assembly, federal funds, to the extent permitted by federal law and regulation, and other moneys made available to the Tennessee emergency management agency for the purposes of the Hurricane Helene disaster recovery fund from any other source or sources, including gifts, must be allocated equally between county recovery grants and direct assistance recovery grants.

(f) Subject to the availability of funds, the Tennessee emergency management agency shall provide county recovery grants as specified in this subsection (f) to provide financial assistance to counties for infrastructure engineering and general expenses directly related to flood damage resulting from Hurricane Helene:

(1) Fifteen million dollars (\$15,000,000) to the county government of a county having a population of not less than seventeen thousand nine hundred forty (17,940) nor more than eighteen thousand (18,000), according to the 2020 federal census;

(2) Twenty million dollars (\$20,000,000) to the county government of a county having a population of not less than fifty-six thousand three hundred (56,300) nor more than fifty-six thousand four hundred (56,400), according to the 2020 federal census;

(3) Ten million dollars (\$10,000,000) to the county government of a county having a population of not less than one hundred thirty-three thousand (133,000) nor more than one hundred thirty-three thousand one hundred (133,100), according to the 2020 federal census;

(4) Fifteen million dollars (\$15,000,000) to the county government of a county having a population of not less than seventeen thousand nine hundred

(17,900) nor more seventeen thousand nine hundred thirty-five (17,935), according to the 2020 federal census;

(5) Seventeen million dollars (\$17,000,000) to the county government of a county having a population of not less than seventy thousand one hundred (70,100) nor more than seventy thousand two hundred (70,200), according to the 2020 federal census;

(6) Five million dollars (\$5,000,000) to the county government of a county having a population of not less than one hundred fifty-eight thousand one hundred (158,100) nor more than one hundred fifty-eight thousand two hundred (158,200), according to the 2020 federal census;

(7) Fifteen million dollars (\$15,000,000) to the county government of a county having a population of not less than thirty-five thousand nine hundred (35,900) nor more than thirty-six thousand (36,000), according to the 2020 federal census; and

(8) Three million dollars (\$3,000,000) to the county government of a county having a population of not less than fifty-six thousand seven hundred (56,700) nor more than fifty-six thousand eight hundred (56,800), according to the 2020 federal census.

(g)

(1) Subject to the availability of funds, the Tennessee emergency management agency shall provide direct assistance recovery grants to counties included in a declaration made on or after September 26, 2024, and prior to October 3, 2024, for a disaster certified by the federal emergency management agency. The Tennessee emergency management agency shall consider appropriate factors, including population, property damage, and need, and

allocate grants to counties accordingly. Each county that receives direct assistance recovery grants shall in turn disburse funds from such grants to households on a first-come, first-served basis after considering need and availability of funds.

(2) The Tennessee emergency management agency shall develop and provide to counties a standardized application form for households to apply for direct assistance recovery grant funds. The application must require a demonstration of need, according to the category of need specified in subdivision (g)(4), from the applicant.

(3) The office of the county mayor or county executive shall administer the application process and disbursement of funds to eligible households. Such office is authorized to hire temporary staff to assist with implementing this subsection (g), and may use a percentage of direct assistance recovery grant funds received from the Tennessee emergency management agency to pay reasonable expenses for the administration and disbursement of grant funds and the wages of temporary staff.

(4) Except as provided in subdivision (g)(3), direct assistance recovery grant funds must be used only to assist eligible households with one (1) or more of the following:

- (A) Repair or replace damaged real or personal property;
- (B) Replace the loss of personal effects; and
- (C) Paying rent and utilities.

(5) The county must keep a record of disbursed direct assistance recovery grant funds for purposes of an audit by the comptroller of the treasury. The record must include each application, applicant's name and residential

address, amount requested, amount received, and the category or categories of need specified in subdivision (g)(4). The record must be kept for the period of time as required and determined by the comptroller of the treasury. The county must also publish on the county's website, an aggregated report that details the number of applications received, the number of applications approved, the total amount of funds requested, the total amount of funds disbursed, and the total amount of funds expended on grant administration.

(6) Each county described in subdivision (g)(1) shall set and publish the beginning and end dates of the application period, which must begin on the effective date of this act, and end thirty (30) days after that date. A county has fifteen (15) days to review applications, and funds must be awarded within fifteen (15) days of the end of the review period and disbursed as expeditiously as possible. Only one (1) application may be submitted per household.

(h) The Hurricane Helene disaster recovery fund and disbursements of county recovery grants and direct assistance recovery grants are subject to examination and audit by the comptroller of the treasury.

(i) If a person filing a claim or invoice for a grant or grant funds, including for reimbursement, knowingly makes a false, fictitious, or fraudulent statement or representation, or knowingly submits false, fictitious, or fraudulent documentation or information to a county, the Tennessee emergency management agency, or the state treasurer, then such person is liable under the False Claims Act, compiled in title 4, chapter 18.

(j) Rules may be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, in order to ensure the funds are received and expended for the purposes consistent with this section.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.